Board Brief

Powered by Lenny's Podcast

THE PROBLEM

We're at established firm and deciding whether to stick with Enterprise or double down on SMB. We've had 20 inbound Enterprise requests per month plus a healthy pipeline of projects with enterprise clients but have seen the saturaion inthe revenue. The tension is should we build features for SMBs but this would require to hire more team members.

YOUR BOARD

OPERATOR Jen Abel

Lenny's Podcast

The most glaring issue here is the focus on the long-term potential of the SMB market without clear alignment on immediate actions. You have a steady stream of inbound Enterprise requests, but past that, let’s be real: revenue saturation isn’t somethi you can ignore. Instead of getting tantalized by growth potential that may not materialize, let's analyze what’s happening now.

From my experience, relying solely on aspirational numbers can lull us into inaction. You need to ask: who is responsible for driving the SMB strategy forward, and by when can we expect a measurable outcome? Without committed ownership and deadlines, we risk letting theoretical discussions about potential features for SMBs get in the way of addressing immediate reve opportunities within Enterprise.

I suggest assigning a team to conduct a focused analysis into why you’re seeing saturation in Enterprise. What are the specific barriers here? And by next Monday, that team should have a draft plan for addressing those challenges or pivoting resources t SMB. Let’s not squander momentum.

VISIONARY

Jeanne Grosser

Lenny's Podcast

Here’s the hard truth: the real game isn’t about balancing between Enterprise and SMB; it’s about rethinking your position in the market entirely. Right now, with Enterprise inquiries, you’re just fishing in a well-saturated pond, trying to differentiate your offerings in a crowded space. Meanwhile, SMBs represent not just a revenue stream but an opportunity to fundamentally disrupt your competitive landscape.

My advice? Don’t just dip your toes into SMB features—make a significant bet on it. Think about the value you could unlock by creating a flexible, scalable platform that SMBs can’t resist. The question you should be asking is: what innovation can we launch that shifts the narrative? You're not merely adding features; you're building a movement.

Invest in a talent acquisition strategy that prioritizes customer empathy and agile execution to meet SMB needs. This is a risk—yes, it may require resources upfront—but in five years, it could change your company's trajectory entirely.

So, go out and hire a dedicated SMB team. Make your bet.

CHALLENGER

Jason Cohen

Lenny's Podcast

Let’s address the heart of the problem framing here. The PM presents a tension between Enterprise and SMB strategies, under the illusion that revenue saturation in Enterprise necessitates a shift focus. However, the hidden assumption is that we are only as good as our current inbound requests and existing features. What if we reframed success not merely around existing revenue lines but around what untapped value we could unlock?

Sticking solely to Enterprise could yield higher margins if we pivot our approach to deliver significantly more value, rather than diluting our efforts and resources by venturing into the SMB space. As seen when I discussed changing metrics dramatically to derive insights, what if we shifted our focus from the number of inbound requests to the depth of relationships and expansion within current Enterprise clients?

We should not rush to add features for SMBs. Instead, let’s consider this: How can we scale our existing Enterprise relationships, perhaps even generating more value through higher-tier, more customized offerings?

So, the reframed problem statement is: "How can we enhance and deepen our relationships with existing Enterprise clients to unlock new revenue streams, rather than diversifying into SMBs?"

USER ADVOCATE

Jason M Lemkin

Lenny's Podcast

Let's be clear: the tension here is not just about balancing revenue streams; it’s about understanding the real needs of our users, the enterprise clients versus the SMBs. The PM highlighted our strong pipeline and the inbound requests—yet we’re experiencing saturation in revenue. If I were an enterprise customer, I’d feel concerned that we might abandon my needs in favor of a quick growth strategy with SMBs. This sends a signal that we prioritize short-term gains over long-term relationships and support.

As Lenny pointed out, bringing the product team into discussions is crucial as they can see the nuance that sales and leadership sometimes overlook. Users need us to deepen their experience, not scatter our resources. Instead of doubling down on SMBs at this moment, we should continue optimizing our offerings for enterprise clients while subtly testing our value proposition for SMBs.

Action: Allocate a small, dedicated team to enhance enterprise features that users are requesting, while developing a minimal viable product for SMBs as a secondary focus. This keeps us user-centric without losing sight of growth potential.

DATA ORACLE

Robby Stein

Lenny's Podcast

We need to peel back the layers on this decision about whether to double down on SMB after seeing stagnation in Enterprise. The key question is: what does the data actually show? You say you have 20 inbound Enterprise requests a month. What’s the conversion rate? Are we measuring the customer lifetime value (CLV) of our enterprise clients compared to SMB? If our data is not breaking down revenue by client type, we might be making a massive misstep.

Additionally, let’s examine the reason behind the saturation in revenue. Are we assuming it's due to market constraints when it could be a failure to address evolving customer needs? Are there specific features or segments within SMB that are underserved? Instead of hiring indiscriminately for SMB, can we deploy a minimal viable product (MVP) approach to test SMB waters with low resource investment?

This deeper dive into segmentation and respective data-led insights could change everything. The action here is to run a comparative analysis of the CLV and engagement metrics for both segments immediately. We need to measure how, by whom, and against what baseline to see who truly benefits from this pivot.

THE DEBATE

Jen Abel to Jeanne Grosser: Your recommendation to hire a dedicated SMB team and make a significant bet on it ignores the immediate revenue challenges we're facing in Enterprise. We need to focus on analyzing why we're experiencing saturation there, not divert resources into an unproven market.

Jeanne Grosser: The risk of not investing in SMBs means potentially missing out on a transformative opportunity; prioritizing Enterprise now could keep us stagnant while SMBs could disrupt the market entirely. We need to think bigger and bolder, not just react to current pressures.

LENNY'S TAKE

> *The pattern I've observed is the critical importance of balancing immediate needs with long-term vision while maintaining strategic focus. The tension here isn't just about choosing between Enterprise and SMB—it's about ensuring that your existing strengths aren't undermined while exploring new opportunities. As I've noted before, successful product strategies often involv picking a few key attributes to excel at. In this case, test the SMB waters with minimal resources while doubling down on enhancing your Enterprise offerings, ensuring you don't spread yourself too thin and lose sight of your core strengths.*

SYNTHESIS

WHAT THE BOARD AGREES

The advisory board unanimously agrees that the company must make a decisive choice between focusing on Enterprise clients or pivoting towards SMBs; the middle ground isn't viable due to current saturation issues.

THE OPEN QUESTION

The conflict between Jen Abel and Jeanne Grosser is the most pronounced. Jen Abel argues for a tighter focus on enhancing the current Enterprise pipeline, cautioning against the allure of theoretical growth in the SMB market without committed resources and leadership. She believes any diversion from Enterprise risks losing immediate revenue opportunities. Conversely, Jeanne Grosser passionately advocates for robust investment in SMBs, treating it as more than just a revenue stream but a strategic shift that can disrupt the market and elevate the brand over the next five years. Grosser insists that merely analyzing Enterprise saturation is a defensive move; instead, it's time to strategically recruit and dedicate a team to transform the SMB landscape, which could redefine the company's future trajectory.

YOUR NEXT MOVE

The most crucial next step is to decide whether to allocate budget and resources for the immediate hiring and establishment of a dedicated team to develop and launch compelling, out-of-the-box features tailored to SMBs. This decision would not only set the strategic direction but also catalyze the operational and cultural shifts necessary to support such a focused move into the SMB market, aligning with the vision Jeanne Grosser has advocated.

PICK YOUR MOVE — THREE PATHS FORWARD

>> CHOSEN PATH

Enterprise Optimization Focus

Conduct a detailed analysis to identify issues causing Enterprise revenue saturation and develop a plan to enhance exis offerings within current Enterprise clients.

Why this works: This move leverages the existing customer base, aiming to extract more value by improving client relationship and customized solutions, while minimizing risk and resource diversion.

Backed by Jason Cohen

SMB Strategic Expansion

Recruit a dedicated team to focus on building a platform for SMBs, emphasizing scalability and innovation, while reshapi the competitive landscape.

Why this works: By making a bold investment in SMB, the company can tap into new markets with the potential to transform industry standards, challenging entrenched competitors and delivering long-term growth.

Backed by Jeanne Grosser

Data-Driven Decision Realignment

Initiate an in-depth analysis of customer lifetime value (CLV) and engagement metrics across both Enterprise and SMB segments to inform strategic focus and resource allocation.

Why this works: Using data-driven insights, this approach will clarify the true impact of Enterprise and potential in SMB, allowing evidence-based decisions that maximize value and efficiency.

Backed by Robby Stein